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LINE 7

25-CIV-05213

GENERATION BUILDERS, INC. VS. MICHELLE WHITE, ET AL.

GENERATION BUILDERS, INC.
MICHELLE WHITE

RICHARD LIU
ROBERT S FLETCHER

DEFENDANTS MICHELLE WHITE, ALANA KLEINERMAN, AND LEVIT8 LOUNGE, LLC'S MOTION TO SET ASIDE
DEFAULT

TENTATIVE RULING:

The court GRANTS defendants Michelle White, Alana Kleinerman and Levit8 Lounge, LLC's motion for relief from default.

The answer and cross-complaint attached to the declaration of Robert S. Fletcher is not deemed filed, but shall be filed and served by July 29, 2026.

The parties tried to informally resolve this matter, but thus far those efforts have been unsuccessful. The parties each set forth different factual scenarios regarding the communications, the different lawyers for defendants, and the filing of the default, which default was entered by the court on April 1, 2026.

To the court, at this point, it makes no sense to untangle what exactly happened and assign fault. The court relies on the law of this state that abhors forfeiture so that cases can be tried on the merits. The law favors judgments based on the merits, not procedural missteps. Our Supreme Court has repeatedly reminded us that in this area doubts must be resolved in favor of relief, with an order denying relief scrutinized more carefully than an order granting it. "As Justice Mosk put it in *Rappleyea [v. Campbell]* (1994) 8 Cal.4th 975] Because the law favors disposing of cases on their merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default [citations]." (*Lasalle v. Vogel* (2019) 36 Cal.App.5th 127, 134–135 [internal quotations omitted].)

Plaintiff's counsel probably did think he was getting the runaround. However, the parties had engaged in efforts to resolve the case without litigation and defendants were intending to file the answer and the court finds that the defense position that even though the time to respond had passed, he did not believe that the default would be entered is mistake, inadvertence, surprise or excusable neglect under Code of Civil Procedure section 473, subdivision (b).

Therefore, the court vacates and sets aside the default. The court denied entry of default judgment because of this pending motion so no default judgment needs to be set aside or vacated.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, counsel for defendants shall prepare a written order consistent with the court's ruling for the court's

signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

2:00 PM

LINE 8

25-CIV-08993

WEBB RANCH, INC. VS. GARY WEBB AS TRUSTEE OF THE WEBB 2008 FAMILY TRUST,
ET AL.

WEBB RANCH, INC.
GARY WEBB AS TRUSTEE OF THE WEBB 2008 FAMILY TRUST

BRIAN R IRION
JOSEPH M. GOETHALS

HEARING FOR THE PURPOSE OF SELECTING APPRAISERS, SETTING THE BOND AMOUNT, AND DETERMINING
DEADLINES/SCHEDULING

TENTATIVE RULING:

The court rules on the selection of appraisers and setting of the bond and further scheduling as follows:

The court appreciates the cooperation between counsel and the agreements that they have reached.

Background. On June 10, 2026, the court conditionally granted Plaintiff Webb Ranch, Inc.'s (WRI) "Motion for Order Staying Involuntary Dissolution & Appointing Appraisers to Ascertain Value of Gary Webb's Shares." The June 10, 2026 Order stayed this litigation, pending resolution of the Corporation Code § 2000 appraisal proceeding, and set further hearing date of July 21, 2026 for the purpose of setting a bond amount, appointing appraisers, and addressing further scheduling. After considering the submissions, the court hereby orders the following:

\$120,000 bond. Within 30 days of service of notice of entry of this Order, WRI shall post a bond in the amount of \$120,000. Based upon the facts as the court understands them, this amount is reasonable to compensate Gary Webb if WRI does not buy out his shares.

At the prior (the June 2, 2026) hearing, WRI argued in favor of a \$25,000 bond, while Gary Webb sought a \$500,000 bond. Both parties have since significantly changed their position. Following a meet and confer, WRI now proposes a \$105,000 bond, while Gary Webb proposes a \$150,000 bond. The parties' calculations differ significantly. The parties have hugely different estimates of the appraisal costs, as well as very different estimates of Gary Webb's estimated attorney's fees during the appraisal proceeding. (Compare Hollenberg declaration with Irion declaration, with WRI estimating Webb's fees at \$15,000, and Webb estimating his fees at about \$150,000.)

The court believes that Webb's attorneys should not have to do as much work as they suggest (155 attorney hours and 60 paralegal hours seem excessive for the appraisal part of the action). The court finds their hourly rate reasonable for this case based upon their experience, but wants to make sure that there is no duplicative work and that if work can be performed by attorneys with a lower hourly rate, that those attorneys be used. However, most of the work will be done by